

definition adding alpha; they're merely delivering factor exposures in more costly ways."

Is there any reason then to use smart beta when you can often replicate it at a lower cost? The answer is an unqualified ... maybe. There are some strategies, such as dividend appreciation, insider sentiment, spin-offs, buybacks, and high quality that may offer more than just factor tilts and sector concentration. While smart beta strategies are more expensive than passive strategies, they are also less expensive than active strategies since there is less day-to-day decision making involved. Another reason to consider smart beta strategies is that passive, capitalization-weighted indexes are not completely efficient.⁵ Nor are they optimal, given that prices are noisy (having unpredictable and nonrepeatable patterns) and do not fully reflect all available information.

However, when looking at smart beta strategies, one needs to keep in mind that some of them have only around 15 years of backtest history and are still unproven. Investors with Wayback Machines, who can go back in time to invest, may find these useful. The rest of us, however, will want to see more data than that. Extrapolating results based on only 15 years of data can be very dangerous.

Constructing new, smart beta indexes based on past data can be a futile endeavor. Dickson, Padmawar, and Hammer (2012) of The Vanguard Group issued a research report called "Joined at the Hip: ETF and Index Development," in which they report that the average new index fund outperformed the broad U.S. stock market by 10.3% annually in the five years before its launch but underperformed by 1.0% in the five years after its launch. The authors conclude that "back tested performance does not appear, on average, past the live index date ... possibly because benchmarks are often chosen for new products based on their attractive past history."

I use the following criteria when I construct dual momentum portfolios to determine if a nontraditional smart beta strategy might be worth considering as a substitute for a capitalization-weighted index and is more than just a high-cost, factor-based closet index fund:

- 1 Does the approach make logical sense? Are there concepts underlying the strategy that have proven themselves? How likely is